MACROECONOMICS

MACRO-28

Time: 5 minutes

Outcome: Determine money-market equilibrium and interest-rate adjustment.

Difficulty: ●●○ Intermediate

Liquidity Preference and the Money Market

THE CORE IDEA

Money-market equilibrium occurs where the quantity of money supplied equals the quantity demanded at a particular interest rate. With fixed money supply, higher money demand pushes the interest rate up. Higher money demand with fixed money supply raises interest rates. Liquidity preference theory explains the interest rate as the price that balances money supply and money demand.

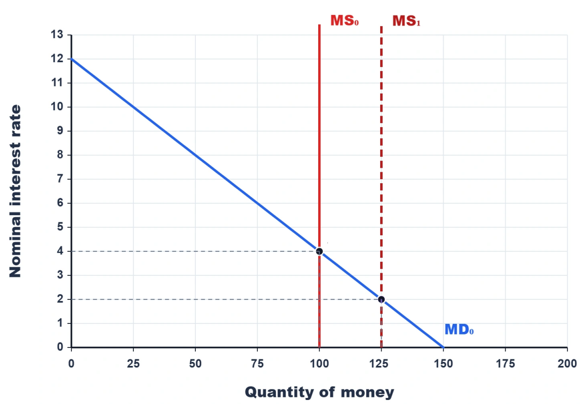
HOW TO RECOGNIZE IT

- Treat the money supply as fixed by policy in the basic liquidity-preference model.
- Money demand slopes downward because a higher interest rate raises the opportunity cost of holding money.
- The equilibrium interest rate occurs where quantity of money demanded equals quantity supplied.
- A money-supply increase lowers the equilibrium interest rate; stronger money demand raises it.

WATCH OUT

Do not treat a labeled point on a money-supply line as an equilibrium even when it is not on the active money-demand curve. At an interest rate above equilibrium, money supplied exceeds money demanded and asset-market adjustment pushes the rate down; below equilibrium, excess money demand pushes it up.

WORKED EXAMPLE: FINDING THE MONEY-MARKET RATE



Money supply increases from 100 to 125 while the money-demand curve is unchanged. The added 25 units move equilibrium down the demand curve, lowering the nominal interest rate from 4% to 2%. The graph therefore illustrates how an expansionary money-supply change reduces the short-term interest rate.

CHECK YOURSELF

At the current interest rate, households want to hold more money than the fixed money supply provides. Which adjustment moves the market toward equilibrium?

READY? Return to the game and master this concept.